23.09 Characteristics of Retailers

Following are the characteristics of retail traders

1. Retailer generally involves dealing in a variety of items. A retailer makes purchases from producers or wholesalers in bulk for sale to the end consumers in small quantities.
2. Retail trade is normally carried on in or near the main market area.
3. Generally, retailers involve buying on credit from wholesalers and selling for cash to consumers.
4. A retailer has indirect relation with the manufacturer (through wholesalers) but a direct link with the consumers.



23.10 Distinction Between Wholesaler and Retailer

1 **Link:** A wholesaler serves as a link between producers and retailers. On the other hand, a retailer provides a link between wholesalers and consumers. Wholesaler is the first link, whereas retailer is the last link in the chain of distribution of goods.

2 **Scale of Operations:** A wholesaler carries on business on a large scale and requires huge capital. A retailer, on the other hand, deals generally on a small scale and capital invested in retail trade is relatively small.

3 **Range of Goods:** A wholesaler generally deals in one commodity. But a retailer deals in a large variety goods and caters to the diverse needs of his end customers.

4 **Dealings:** A wholesaler generally sells goods to retailers on credit. But a retailer usually sells goods to end consumers on cash basis.

5 **Purpose of Selling:** A wholesaler sells goods for resale. On the other hand, a retailer sells goods for ultimate consumption or use.

6 **Source of Supply:** A wholesaler buys goods from manufacturers and their agents in large quantities. On the other hand, a retailer generally buys goods from wholesalers and their agents in small quantities.

7 **Location:** A wholesaler operates his business in big commercial cities and expand his business to different areas. A retailer operates in a smallest village and also big cities and locates his business in particular place of area.

Concludingly channels of distribution facilitate transfer of goods and services. It enables free flow of goods and services from the producer to consumers.

Key Terms

Channel of distribution, Auctioneers, Mercantile agent, Warehouse keepers, Merchant middlemen Wholesalers, Retailers Retail trade

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